

FIGURE 7 –Stocks Real Returns, 1900-2014

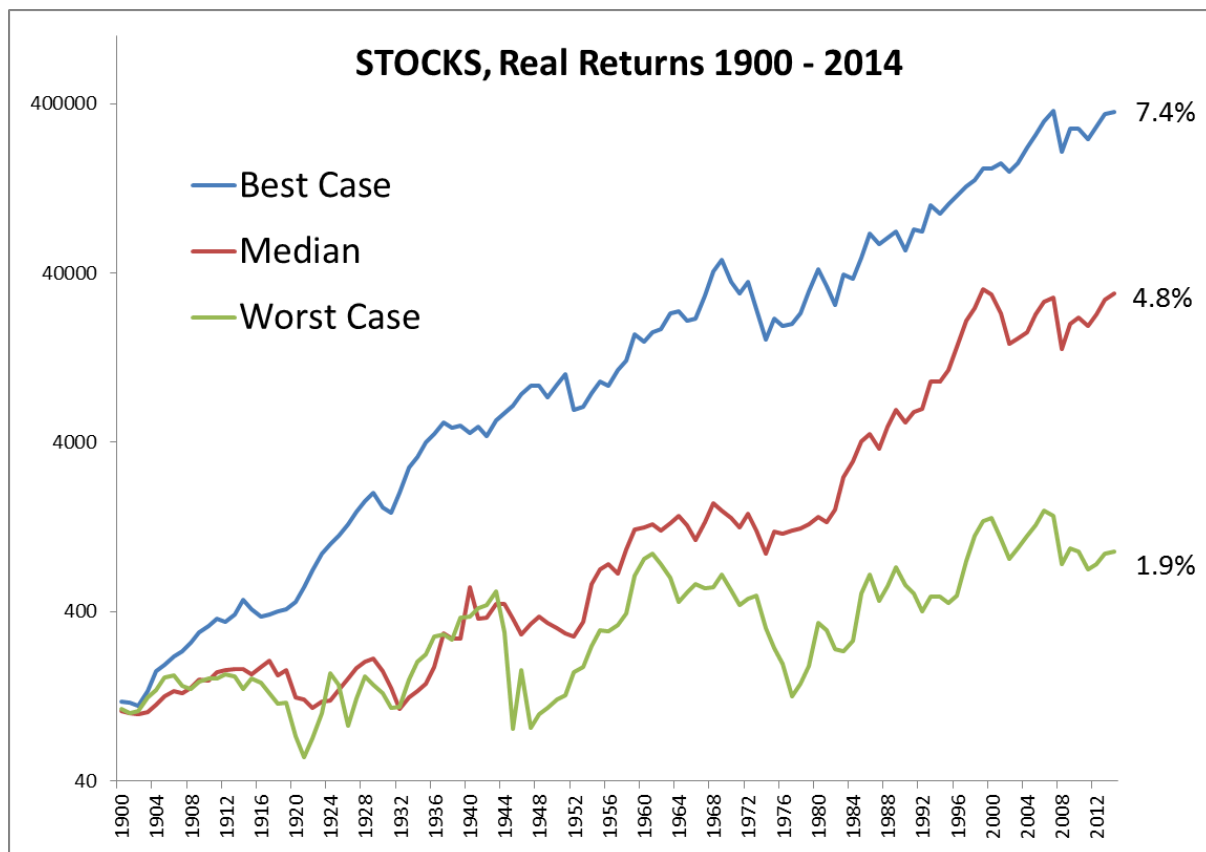
Best-Case: 7.4% per year

Middle: 4.8%

Worst-Case: 1.9%

(Real Worst-Case, China, Russia -100%)

World: 5.2%



Source: Morningstar, Elroy Dimson, Paul Marsh, Mike Staunton, *Triumph of the Optimists*, Princeton University Press, 2002, Credit Suisse Global Investment Returns Sourcebook 2015

And in Figure 7a, the same chart is presented with a non-log y-axis. We do this to demonstrate to readers the importance of viewing charts that have percentage changes over long time frames with a log axis. Otherwise the chart is almost unreadable and definitely not useful. Perhaps importantly,